

Consumption and Saving

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Indhold

1 MPC with infinite horizon	2
a Deriving the Euler equation	2
a.1 Bellman equation	2
a.2 Proof of envelope theorem	2
a.3 The Euler equation	3
b The budget constraint	3
b.1 Transversality condition	3
b.2 Budget constraint	4
c Consumption function	4
d Marginal Propensities to Consume (MPCs)	5
2 The Ramsey model	6
a Firms	6
b Empirical labor-income	6
c Households	6
d Steady state concentration of capital	7
e Does the model hold up?	8

1 MPC with infinite horizon

a Deriving the Euler equation

a.1 Bellman equation

The (representative) consumer faces the following utility maximization problem

$$\begin{aligned} \max_{c_t, a_{t+1}} \forall t \quad U_t &\equiv \sum_{k=0}^{\infty} \beta^{t+k} \frac{c_{t+k}^{1-\sigma}}{1-\sigma} \\ \text{s.t.} \quad & \\ c_t + a_{t+1} &= y_t + (1+r)a_t \\ \lim_{T \rightarrow \infty} \left(\prod_{t=0}^T (1+r)^{-1} \right) a_{T+1} &\geq 0, \end{aligned}$$

where a_0 is given and $\sigma > 1$. First I derive the Bellman equation explicitly (for an arbitrary starting index t , which will usually be set to $t = 0$)

$$\begin{aligned} V(a_t) &\equiv \max_{\{c_{t+k}, a_{t+1+k}\}_{k=0}^{\infty}} \underbrace{\left\{ \sum_{k=0}^{\infty} \beta^k \frac{c_{t+k}^{1-\sigma}}{1-\sigma} \right\}}_{U_t} \\ &= \max_{\{c_{t+k}, a_{t+1+k}\}_{k=0}^{\infty}} \left\{ \frac{c_t^{1-\sigma}}{1-\sigma} + \beta \sum_{k=0}^{\infty} \beta^k \frac{c_{t+1+k}^{1-\sigma}}{1-\sigma} \right\} \\ &= \max_{c_t, a_{t+1}} \left\{ \frac{c_t^{1-\sigma}}{1-\sigma} + \beta V(a_{t+1}) \right\} \\ &= \max_{a_{t+1}} \left\{ \frac{(y_t + (1+r)a_t - a_{t+1})^{1-\sigma}}{1-\sigma} + \beta V(a_{t+1}) \right\} \end{aligned}$$

The first order condition for an internal optima (for the right hand side) is given by

$$\underbrace{(y_t + (1+r)a_t - a_{t+1})^{-\sigma}}_{c_t} = \beta V_a(a_{t+1}), \quad (1)$$

where we have defined $V_a(a_t) \equiv \frac{\partial V}{\partial a_t}$. By the envelope theorem (assuming V is differentiable) we have

$$V_a(a_{t+1}) = (1+r)c_{t+1}^{-\sigma}. \quad (2)$$

a.2 Proof of envelope theorem

Define the optimal asset policy $a_{t+1}^* = g(a_t)$ as the function that solves the Bellman equation:

$$V(a_t) = u(y_t + (1+r)a_t - g(a_t)) + \beta V(g(a_t))$$

differentiating wrt. a_t yields

$$\begin{aligned}
 V_a(a_t) &= \underbrace{u'(c_t)((1+r) - g'(a_t))}_{\text{gain due to increased current consumption}} + \underbrace{\beta V_a(g(a_t))g'(a_t)}_{\text{gain due to increased savings}} \\
 &= (1+r)u'(c_t) + g'(a_t) \underbrace{(\beta V_a(g(a_t)) - u'(c_t))}_{=0 \text{ (because of FOC)}}.
 \end{aligned}$$

Q.E.D.

Intuitively $(\beta V_a(g(a_t)) - u'(c_t)) = 0$ because the marginal gain of spending is equal the marginal gain of saving at the maximum. therefore shifting this a little bit does not matter for the value function. So basically the increase in assets is distributed as utility gain due to increased current consumption and increased future savings, but disregarding the distribution over current and future consumption as this gives the same marginal utility at the maximum, which is $(1+r)u'(c_t)$.

a.3 The Euler equation

Combining (1) and (2) we obtain the well known Euler equation

$$c_t^{-\sigma} = \beta(1+r)c_{t+1}^{-\sigma}, \quad (3)$$

which is a necessary condition for an internal optimal consumption path. This has a very nice interpretation: The marginal utility today (e.g. $c_t^{-\sigma}$) should equal the marginal utility of saving a little bit and spending it tomorrow (e.g. $\beta(1+r)c_{t+1}^{-\sigma}$) from today's perspective. If that was not the case then the household could shift consumption and increase total utility.

b The budget constraint

b.1 Transversality condition

From the maximization problem we have the no ponzi-scheme condition

$$\lim_{T \rightarrow \infty} \left(\prod_{t=0}^T (1+r)^{-1} \right) a_{T+1} = \lim_{T \rightarrow \infty} \left((1+r)^{-(T+1)} \right) a_{T+1} \geq 0,$$

Because the utility function is monotone in consumption

$$\frac{\partial U_t}{\partial c_{t+k}} > 0, \quad \forall k \geq 0,$$

and the consumer gains no direct utility from assets

$$\frac{\partial U_t}{\partial a_{t+k}} = 0, \quad \forall k \geq 0,$$

we conclude that the consumer would not increase savings indefinitely, and such the transversality condition is born

$$\lim_{T \rightarrow \infty} \left((1+r)^{-(T+1)} \right) a_{T+1} = 0. \quad (4)$$

b.2 Budget constraint

Iterating forward the budget constraint yields

$$\begin{aligned} a_t &= (1+r)^{-1} (c_t - y_t) + (1+r)^{-1} a_{t+1} \\ &= (1+r)^{-1} (c_t - y_t) + (1+r)^{-1} \left((1+r)^{-1} (c_{t+1} - y_{t+1}) + (1+r)^{-1} a_{t+2} \right) \\ &= (1+r)^{-1} (c_t - y_t) + (1+r)^{-2} (c_{t+1} - y_{t+1}) + (1+r)^{-2} a_{t+2} \\ &= (1+r)^{-1} (c_t - y_t) + (1+r)^{-1} + (1+r)^{-2} (c_{t+1} - y_{t+1}) + (1+r)^{-3} (c_{t+2} - y_{t+2}) + (1+r)^{-3} a_{t+3} \\ &= \sum_{k=0}^T (1+r)^{-(k+1)} (c_{t+k} - y_{t+k}) + (1+r)^{-(T+1)} a_{T+1}. \end{aligned}$$

Taking the limit $T \rightarrow \infty$, evaluating at the starting period $t = 0$ and using (4) yields

$$\begin{aligned} a_0 &= \sum_{k=0}^{\infty} (1+r)^{-(k+1)} (c_k - y_k) + \lim_{T \rightarrow \infty} (1+r)^{-(T+1)} a_{T+1} \\ &= \sum_{k=0}^{\infty} (1+r)^{-(k+1)} (c_k - y_k) \iff \\ &\quad \sum_{k=0}^{\infty} (1+r)^{-k} c_k = (1+r)a_0 + h_0, \end{aligned} \quad (5)$$

where $h_0 \equiv \sum_{k=0}^{\infty} (1+r)^{-k} y_k$ is the present value of human capital / income stream. That is the present value of consumption is equal to the value of period-0 assets and the present value of income.

c Consumption function

Firstly we rewrite the Euler equation (3)

$$c_t^{-\sigma} = \beta(1+r)c_{t+1}^{-\sigma} \iff c_t = (\beta(1+r))^{-1/\sigma} c_{t+1},$$

and derive the consumption at every period in terms of initial consumption c_0 :

$$c_t = (\beta(1+r))^{1/\sigma} c_{t-1} = (\beta(1+r))^{t/\sigma} c_0. \quad (6)$$

Substituting (6) for all k into the budget constraint (5) yields the consumption function

$$\left[\sum_{k=0}^{\infty} \left(\frac{(\beta(1+r))^{1/\sigma}}{1+r} \right)^k \right] c_0 = \left(1 - \frac{(\beta(1+r))^{1/\sigma}}{1+r} \right)^{-1} c_0 = (1+r)a_0 + h_0 \iff$$

$$c_0 = \left(1 - \frac{(\beta(1+r))^{1/\sigma}}{1+r}\right) ((1+r)a_0 + h_0). \quad (7)$$

Equation (7) is the consumption function describing how consumption today (e.g. period 0) depends on current assets (e.g. $(1+r)a_0$) and the total discounted income stream (e.g. $h_0 \equiv \sum_{k=0}^{\infty} (1+r)^{-k} y_k$).

For $\beta(1+r) = 1$ the Euler equation (3) implies

$$c_t^{-\sigma} = c_{t+1}^{-\sigma} \iff c_t = c_{t+1}.$$

That is, stable consumption across all periods. When $\beta(1+r) = 1$ we have that discounting due to delayed consumption is exactly offset by increased consumption in the next period due to the rent received by saving. I think the assignment wants me to answer PIH (the permanent income hypothesis) but I do not agree. PIH refers to households making decisions based on their total future discounted cashflows. This is captured in (7) but does not directly imply constant consumption as far as I understand.

d Marginal Propensities to Consume (MPCs)

Using (7) we calculate the MPCs of the model. Firstly the MPC of a *one-of* or *windfall* income increase in any given period $t = k$:

$$\frac{\partial c_0}{\partial y_k} = \left(1 - \frac{(\beta(1+r))^{1/\sigma}}{1+r}\right) \left(\frac{1}{1+r}\right)^k, \quad (8)$$

and secondly a permanent income increase (i.e. where income in each period increases by the same amount)

$$\frac{\partial c_0}{\partial \Delta y} \equiv \sum_{k=0}^{\infty} \frac{\partial c_0}{\partial y_k} = \left(1 - \frac{(\beta(1+r))^{1/\sigma}}{1+r}\right) \frac{1}{1 - (1+r)^{-1}} = \left(1 - \frac{(\beta(1+r))^{1/\sigma}}{1+r}\right) \frac{1+r}{r}. \quad (9)$$

Note that for $\beta(1+r) = 1$ where the Euler equation (3) implies that consumption is constant (as we saw before) we have $\frac{\partial c_0}{\partial \Delta y} = 1$.

Using the provided calibration we obtain

$$\begin{aligned} \frac{\partial c_0}{\partial y_0} &= 1 - \frac{(0.95(1+0.04))^{1/2}}{1+0.04} \approx 0.044, \\ \frac{\partial c_0}{\partial \Delta y} &= \left(1 - \frac{(0.95(1+0.04))^{1/2}}{1+0.04}\right) \frac{1+0.04}{0.04} \approx 1.150. \end{aligned}$$

The resulting MPCs are lower than any conventional empirical estimate and therefore the model is plausibly wrong in some fundamental way. One very economics coated argument could be that people are credit constrained in the real world. This would make the MPCs for credit constrained people larger because they are below

their unconstrained optimal consumption path. Another classic explanation has to do with mortality risk: people are always at risk of dying and if they don't fully care about their bequest as strongly as their own lived life, then MPC out of current income will rise. Simply because future states are discounted more heavily.

My own speculation would be that people do not maximise in this way where they take the whole future path into account and just consume for the fun of it. Evidence of this can be found in credit card transaction data where there are HUGE spikes around pay-day which would be hard to fit in a framework where households have diminishing marginal utility.

2 The Ramsey model

a Firms

The firm maximises profit in each period (non-dynamically) subject to a Cobb-Douglas production technology. Formally it solves:

$$\max_{K_t, L_t} \{ \pi(K_t, L_t) = AK_t^\alpha L_t^{1-\alpha} - w_t L_t - r_t K_t \}, \quad (10)$$

$\alpha \in (0, 1)$. The problem (10) has the following necessary first order conditions for an internal optimum

$$\frac{\partial \pi}{\partial K_t} = A\alpha K_t^{\alpha-1} L_t^{1-\alpha} - r_t = 0 \iff \alpha A K_t^{\alpha-1} L_t^{1-\alpha} = r_t, \quad (11)$$

$$\frac{\partial \pi}{\partial L_t} = A K_t^\alpha (1-\alpha) L_t^{-\alpha} - w_t = 0 \iff (1-\alpha) A K_t^\alpha L_t^{-\alpha} = w_t. \quad (12)$$

The labor-income share is then

$$\frac{w_t L_t}{AK_t^\alpha L_t^{1-\alpha}} = \frac{w_t}{AK_t^\alpha} = \frac{(1-\alpha) A K_t^\alpha L_t^{-\alpha}}{AK_t^\alpha} = (1-\alpha).$$

b Empirical labor-income

c Households

Households solve the following utility maximisation problem

$$\max_{\{c_t, a_{t+1}\}_{t=0}^{\infty}} U = \sum_{t=0}^{\infty} \beta^t (1+n)^t \frac{c_t^{1-\sigma}}{1-\sigma}$$

s.t.

$$(1+n)a_{t+1} = a_t R_t + w_t - c_t$$

where $\sigma > 0$, $\sigma \neq 0$, $R_t \equiv 1 + r_t - \delta$ and $a_0 = k_0 > 0$ given. The problem has the following Lagrangian

$$\mathcal{L} = \left[\sum_{t=0}^{\infty} \beta^t (1+n)^t \frac{c_t^{1-\sigma}}{1-\sigma} + \lambda_t (a_t R_t + w_t - c_t - (1+n)a_{t+1}) \right],$$

with the first order conditions

$$\begin{aligned} \frac{\partial \mathcal{L}}{\partial c_t} &= \beta^t (1+n)^t c_t^{-\sigma} - \lambda_t = 0 \iff \beta^t (1+n)^t c_t^{-\sigma} = \lambda_t, \\ \frac{\partial \mathcal{L}}{\partial a_{t+1}} &= -(1+n)\lambda_t + \lambda_{t+1} R_{t+1} = 0 \iff \frac{1}{1+n} \lambda_{t+1} R_{t+1} = \lambda_t \end{aligned}$$

substituting the multipliers for $\lambda_t = \beta^t (1+n)^t c_t^{-\sigma}$ and $\lambda_{t+1} = \beta^{t+1} (1+n)^{t+1} c_{t+1}^{-\sigma}$ yields the consumption Euler equation

$$\begin{aligned} \frac{1}{1+n} \left(\beta^{t+1} (1+n)^{t+1} c_{t+1}^{-\sigma} \right) R_{t+1} &= \beta^t (1+n)^t c_t^{-\sigma} \\ &\iff \\ c_t^{-\sigma} &= \underbrace{\beta (1+r_{t+1} - \delta)}_{R_{t+1}} c_{t+1}^{-\sigma}. \end{aligned} \quad (13)$$

d Steady state concentration of capital

We impose market clearing conditions

$$a_t = k_t \equiv \frac{K_t}{L_t}, \quad (14)$$

$$c_t = y_t \equiv \frac{AK_t^\alpha L_t^{1-\alpha}}{L_t} = Ak_t^\alpha, \quad (15)$$

for all $t \in \{0, 1, \dots\}$. Using (14) and (15) along with the steady state (SS) condition $x_t = x_{t+1} = x^{ss}$ for $x \in c, r, k$, the household Euler equation (13) and the FOC for firm profit optimization (11) we obtain steady state capital per hours worked:

$$\begin{aligned} (c^{ss})^{-\sigma} &= \beta (1 + r^{ss} - \delta) (c^{ss})^{-\sigma} \\ &= \beta (1 + \alpha A (k^{ss})^{\alpha-1} - \delta) (c^{ss})^{-\sigma} \iff \\ \alpha A (k^{ss})^{\alpha-1} &= \frac{1}{\beta} + \delta - 1 \iff \\ k^{ss} &= \left(\frac{\alpha A}{\frac{1}{\beta} + \delta - 1} \right)^{\frac{1}{1-\alpha}}. \end{aligned}$$

From here we use that $y_t = Ak_t^\alpha$ as shown in (15) and calculate the income capital ratio:

$$z^{ss} \equiv \frac{K^{ss}}{Y^{ss}} = \frac{k^{ss}}{y^{ss}} = \frac{k^{ss}}{A (k^{ss})^\alpha} = (k^{ss})^{1-\alpha} A^{-1} = \left(\left(\frac{\alpha A}{\frac{1}{\beta} + \delta - 1} \right)^{\frac{1}{1-\alpha}} \right)^{1-\alpha} A^{-1} = \frac{\alpha}{\frac{1}{\beta} + \delta - 1} \quad (16)$$

e Does the model hold up?